

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.92 ▲ 1.03%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.88B
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BBAI: Stuck in Neutral, But Options Traders Smell Something

WHAT'S CHANGED

- Stock is up about 1% to \$3.92 after a rough week — it dropped from \$4.05 Monday down to \$3.88 yesterday, so today's just a small bounce
- Zacks ran two pieces this morning basically asking the same question everyone's asking: is the AI growth story big enough to justify the spending and the valuation?

IMPLICATIONS

Here's the interesting part — options traders are betting bullish in a big way. The put/call ratio is 0.17 (meaning 6x more bullish bets than bearish), and someone scooped up 5,000+ call contracts on the \$4 strike expiring next month. That's smart money betting on a near-term pop. But the stock is also sitting near the bottom of its 52-week range (only 14% off the lows), so somebody clearly thinks the worst is priced in.

VALUATION

At \$1.88B market cap on roughly \$195M of expected 2026 revenue, you're paying about \$10 for every \$1 of sales — that's pricey for a company still losing money. For context, established software companies trade at \$5-8 per \$1 of revenue and they're actually profitable. The stock looks cheap compared to its \$9.39 high, but on fundamentals it's still expensive — I see maybe 15-20% upside to \$4.50 in the base case, with real downside to \$3 if they miss.

KEY RISKS

- They're losing money and SG&A (basically overhead costs like salaries and admin) is rising — if cash gets tight, they'll issue more shares and your stake gets watered down
- Their CFO has been selling, not buying — not a huge sale, but insiders aren't loading up either, which tells you something
- Heavy reliance on government contracts means one budget cut or lost recompetee can tank a quarter

RECENT NEWS

- Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses?** Zacks · 2026-06-19 14:23
- SoundHound's Drive-Thru AI Shows ROI: Can Restaurant Rollouts Scale?** Zacks · 2026-06-18 14:28
- BigBear.ai's Valuation Is Rich, but Is the AI Opportunity Richer?** Zacks · 2026-06-18 13:57
- BigBear.ai Holdings, Inc. (BBAI) Suffers a Larger Drop Than the General Market: Key Insigh...** Zacks · 2026-06-16 22:00

Key Data

Price (USD)	\$3.92
12M Price Target	\$4.50
Upside / (Downside)	+14.8%
Market Cap	\$1.88B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.80	\$4.10	\$3.40
6 Months	\$6.50	\$4.50	\$3.00
1 Year	\$8.00	\$5.00	\$2.50
2 Years	\$12.00	\$6.50	\$2.00
5 Years	\$20.00	\$9.00	\$1.50
10 Years	\$35.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HEATING UP: Defense tech, government AI contractors, and infrastructure software — anything tied to federal spending is getting attention

COOLING OFF: Pure-play consumer AI names that haven't shown revenue traction

ROTATION WATCH: Money is moving from "story stocks" with no revenue into AI names that have actual government and enterprise contracts — BBAI fits that bucket, which is partly why the floor has held around \$3

RELATED PLAY: Palantir (PLTR) is the gold standard here — if government AI spending keeps accelerating, smaller players like BBAI catch a bid as the "cheaper version" trade

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): The blueprint for government AI — profitable, growing, and trades at a massive premium because they proved the model works
- SOUN (SoundHound AI): Getting attention for restaurant drive-thru AI traction — showing actual ROI metrics customers care about

BBAI CONTEXT: BBAI is lagging. While peers are hitting new highs on execution, BBAI is sitting near 52-week lows because investors aren't yet convinced the revenue ramp is real. It's the cheap option in the basket — which is either opportunity or a warning sign.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — I like the setup (cheap vs highs, bullish options flow) but the fundamentals aren't proven yet, so this is a trade more than an investment

POSITION SIZE: 1-2% of portfolio — small because this stock can easily move 30% in a week either direction; you don't want to be over your skis

ENTRY POINTS: I'd wait for \$3.50 or buy a small starter here at \$3.90 and add on weakness

TIME HORIZON: 12-18 months — you need at least 2-3 earnings reports to see if the revenue story is real

WHEN TO BAIL: If they announce a stock offering (dilution), if quarterly revenue growth slows below 20%, or if the stock breaks below \$3 on volume

HEDGING: Buy a few \$3 puts expiring 3-6 months out — costs you a small premium but caps your downside if things fall apart. Or pair the long with a short in a richer-valued AI peer to neutralize sector risk.